

sentiment in the services industry was most muted, with a BCI reading of 51.3, down from 53.9 in the previous quarter. Business confidence in the light industry, comprising food products, beverages, textiles, leather and wood products, and furniture, was the highest at 55.5 but still slipped from 58.5 in the second quarter.

Similarly, sentiment also dipped across industry sizes. While big and mid-sized businesses still remained the most confident with a BCI reading of 57.8 and 56.9, respectively, for the October-December 2024 quarter, micro and small businesses turned more cautious with a reading of 49.8 and 50.6, respectively.

The dip in business sentiment comes right after the government released gross domestic product (GDP) estimates for the second quarter of the fiscal, which revealed that despite the festive season and good rains, economic growth slowed to a seven-quarter low of

5.4%. Concerns have also emanated over moderating urban demand amidst stubbornly high inflation and low pay hikes as well as the slow pick-up in private investment. The government's First Advance Estimates for GDP growth pegged it at a four-year low of 6.4%. Experts expect the economy to pick up momentum in the second half of the fiscal but estimate growth to remain below 7% in FY26 as well.

Devendra Kumar Pant, Chief Economist and Head (Public Finance) at India Ratings & Research, says the agency expects

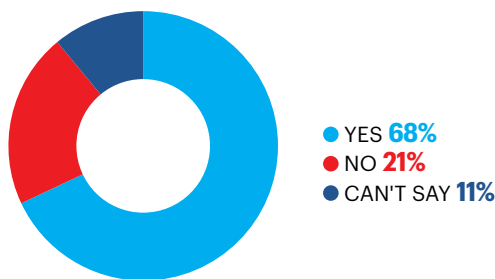
the economy to grow by 6.6% in FY26. Retail inflation will start easing from the fourth quarter of FY25, he says, which will in turn have a positive impact on consumption growth.

The agency has pegged average retail inflation at

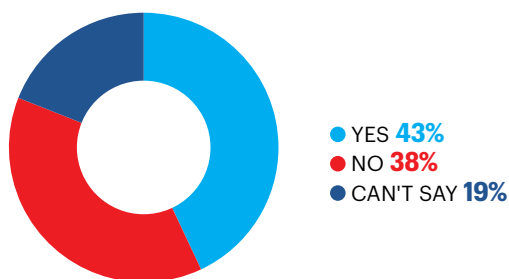
THE DIP IN BUSINESS SENTIMENT COMES AFTER GDP ESTIMATES FOR Q2 WERE RELEASED

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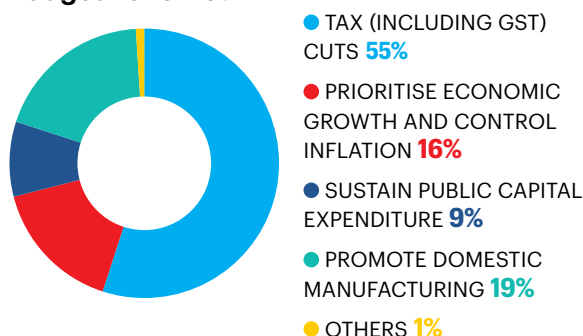
Are you concerned about the potential impact of tariff hikes by the US on India?



Are you worried about a significant slowdown in India's economic growth in FY25?



What is your top expectation from the Union Budget 2025-26?



When do you anticipate the Reserve Bank of India (RBI) will reduce interest rates?

